VXX TRADING PROMPTS - 2026 EDITION

Updated with VXX/VIX Ratio Filter

PROMPT 1: MORNING FADE (Use at 9:45 AM)

VXX MORNING FADE WINDOW - 9:50-10:15 AM

CURRENT MARKET DATA:
- VXX current price: $____
- VIX current level: ____
- VXX/VIX Ratio (from chart): ____
- Volume vs average: ____%
- SPY current: ____

VXX/VIX RATIO ASSESSMENT:
- >1.60 = PREMIUM FADE ⭐⭐⭐ (Max position $500)
- 1.55-1.60 = STRONG FADE ⭐⭐ (Position $400-500)
- 1.45-1.55 = NORMAL FADE ⭐ (Position $300-400)
- 1.35-1.45 = WEAK FADE (Position $150-250 or skip)
- <1.35 = NO FADE ❌ (Skip puts)

TECHNICAL POSITION:
- VXX vs 20 SMA (yellow): Above/Below ____
- VXX vs 50 SMA (orange): Above/Below ____
- VXX vs VWAP (cyan): Above/Below ____
- Opening gap: Up/Down ____%

CRITERIA WEIGHT & PURPOSE:
1. VOLUME >200% (30% weight) - Proves institutions are trading
2. RATIO >1.45 (25% weight) - Proves VXX is overpriced
3. TIME WINDOW (25% weight) - Proves high probability window
4. KEY LEVEL (15% weight) - Proves entry point exists
5. PATTERN (5% weight) - Proves reversal is happening

ALL 5 REQUIRED - No weighting hierarchy saves missing criteria

ENTRY CRITERIA CHECK:
[ ] Time window 9:50-10:15 AM (MANDATORY)
[ ] Volume >200% average (MANDATORY - most predictive)
[ ] VXX/VIX Ratio >1.45 (MANDATORY - your edge)

[ ] VXX gap fade OR resistance rejection (key level)
[ ] Clear candlestick pattern (shooting star/doji)

EXECUTION DECISION:
Direction: PUTS / SKIP
Strike: $____ (1-2 strikes OTM)
Contracts: ____ (based on ratio tier)
Entry: $____
Target: 30-50% gain
Stop: 50% loss
Exit: By 12:00 PM or when pattern breaks

GO/NO-GO: _____

PROMPT 2: POWER HOUR (Use at 3:05 PM)

VXX POWER HOUR WINDOW - 3:10-3:25 PM

DAILY CONTEXT:
- Date: ____
- VXX morning high/low: $____ / $____
- Morning trade result: WIN/LOSS/NO TRADE
- Key news today: ____

CURRENT MARKET DATA:
- VXX current price: $____
- VIX current level: ____
- VXX/VIX Ratio (from chart): ____
- Volume vs average: ____%
- SPY current: ____

VXX/VIX RATIO ASSESSMENT:
- >1.60 = PREMIUM FADE ⭐⭐⭐ (Max aggression, $500)
- 1.55-1.60 = STRONG FADE ⭐⭐ (Full position, $400-500)
- 1.45-1.55 = NORMAL FADE ⭐ (Standard, $300-400)
- 1.35-1.45 = WEAK FADE (Half size, $150-250)
- <1.35 = NO FADE ❌ (Skip)

TECHNICAL POSITION:
- VXX vs 20 SMA (yellow): ____
- VXX vs 50 SMA (orange): ____

- VXX vs VWAP (cyan): ____
- Key resistance: $____
- Key support: $____

CRITERIA WEIGHT & PURPOSE:
1. VOLUME >200% (30% weight) - Proves institutions are trading
2. RATIO >1.45 (25% weight) - Proves VXX is overpriced
3. TIME WINDOW (25% weight) - Proves high probability window
4. KEY LEVEL (15% weight) - Proves entry point exists
5. PATTERN (5% weight) - Proves reversal is happening

ALL 5 REQUIRED - Like pilot checklist, one red light = abort

ENTRY CRITERIA CHECK:
[ ] Time window 3:10-3:25 PM (MANDATORY)
[ ] Volume >200% average (MANDATORY - most predictive)
[ ] VXX/VIX Ratio >1.45 (MANDATORY - your edge)
[ ] VXX at resistance OR breaking support (key level)
[ ] Clear pattern (rejection/breakdown)
[ ] No escalating news last 30 min

EXECUTION DECISION:
Direction: PUTS / SKIP
Strike: $____ (1-2 strikes OTM)
Contracts: ____ (max 8, based on ratio)
Entry: $____
Target: 30-50% gain
Stop: 50% loss
Exit: 3:55 PM sharp OR hold into institutional window?

INSTITUTIONAL FLOW WATCH (3:45-4:10 PM):
- If volume explodes >300% = consider holding
- If ratio >1.60 = stay in position
- If no confirmation = exit 3:55 PM

GO/NO-GO: _____

PROMPT 3: INSTITUTIONAL FLOW (Use at 3:40 PM)

VXX INSTITUTIONAL FLOW WINDOW - 3:45-4:10 PM
(90% Reliability - Supreme Window)

SESSION SUMMARY:
- VXX session range: $____ - $____
- Power hour trade: ACTIVE/CLOSED/SKIPPED
- Current P/L: $____

CURRENT MARKET DATA:
- VXX current price: $____
- VIX current level: ____
- VXX/VIX Ratio (from chart): ____
- Volume vs average: ____%
- Is volume >300%? YES/NO ____

VXX/VIX RATIO ASSESSMENT:
- >1.60 = MAXIMUM FADE ⭐⭐⭐ (Institutional selling likely)
- 1.55-1.60 = STRONG FADE ⭐⭐ (Big money fade setup)
- 1.45-1.55 = NORMAL FADE ⭐ (Standard institutional flow)
- <1.45 = CAUTION (Institutions may be covering)

INSTITUTIONAL SIGNALS:
- Volume explosion (>300% avg): YES/NO ____
- Clean technical break: YES/NO ____
- Moving average cross during spike: YES/NO ____
- Sustained directional move: YES/NO ____

CRITERIA WEIGHT & PURPOSE:
1. VOLUME >300% (35% weight) - Institutional threshold
2. RATIO >1.45 (25% weight) - Value filter
3. TIME WINDOW (25% weight) - Supreme window (90% reliability)
4. CLEAN DIRECTION (10% weight) - Institutional conviction
5. PATTERN (5% weight) - Confirmation

ALL 5 REQUIRED - This window has highest standards

ENTRY/HOLD CRITERIA:
[ ] Time window 3:45-4:10 PM (MANDATORY - supreme window)
[ ] Volume >300% average (MANDATORY - institutional proof)
[ ] VXX/VIX Ratio >1.45 (MANDATORY - value confirmed)
[ ] Clear price direction with conviction (institutional move)
[ ] Pattern visible or forming

DECISION FRAMEWORK:

IF HOLDING FROM POWER HOUR:

- Ratio >1.55 + Volume >300% = HOLD to 4:05 PM
- Ratio <1.50 or volume fading = EXIT NOW
- Hit 50% profit target = SCALE OUT 50%

IF NEW ENTRY:
- Ratio >1.60 + Volume >300% = ENTER (join institutions)
- Ratio 1.45-1.60 + Volume >300% = ENTER half size
- Ratio <1.45 = SKIP

EXECUTION:
Direction: PUTS / HOLD / EXIT / SKIP
Strike: $____
Contracts: ____ (max 8)
Entry/Current: $____
Target: 30-50% gain
Stop: 50% loss
Final Exit: 4:05 PM ABSOLUTE DEADLINE

GO/NO-GO: _____

QUICK REFERENCE CARD

VXX/VIX RATIO TIERS (Memorize These):

- **>1.60** = Premium fade, max position ($500)
- **1.55-1.60** = Strong fade, full position ($400-500)
- **1.45-1.55** = Normal fade, standard position ($300-400)
- **1.35-1.45** = Weak fade, half size ($150-250) or skip
- **<1.35** = NO FADE, skip puts entirely

VOLUME REQUIREMENTS:

- **Morning/Power Hour**: >200% average (>533,000)
- **Institutional Flow**: >300% average (>800,000)

TIME WINDOWS (NY Time):

- **Morning**: 9:50-10:15 AM (85% reliability)
- **Power Hour**: 3:10-3:25 PM (80% reliability)
- **Institutional**: 3:45-4:10 PM (90% reliability)

POSITION SIZING:

- Max $500 per trade
- Max 8 contracts
- Scale based on ratio tier
- NEVER exceed limits

EXITS:

- **Target**: 30-50% gain
- **Stop**: 50% loss
- **Time**: 3:55 PM (4:05 PM if institutional flow)
- **NO OVERNIGHT HOLDS**

CIRCUIT BREAKERS:

- 2 losses in a row = DONE for day
- VIX sustained >25 = PAUSE system
- Ratio <1.35 = NO PUTS
- Down >$500 in week = REVIEW

MANDATORY CHECKS (ALL required):

1. ✅ VXX/VIX Ratio >1.45
2. ✅ Volume >200% average
3. ✅ Correct time window
4. ✅ Technical setup (pattern + level)
5. ✅ No contradicting news

ONE MISSING = NO TRADE

DAILY WORKFLOW

8:30 AM: Review overnight news, check if trading day **9:45 AM**: Run Morning Fade prompt **12:15 PM**: Assess lunch drift (optional, lowest reliability) **3:05 PM**: Run Power Hour prompt **3:40 PM**: Run Institutional Flow prompt **4:00 PM**: Close all positions, log results

Track: Date, Entry, Exit, P/L, Ratio, Volume%, Setup Type

WHAT MAKES THIS SYSTEM WORK

1. **VXX/VIX Ratio** = Value filter (prevents fading cheap VXX)
2. **Volume Confirmation** = Institutional participation proof
3. **Time Windows** = When big money actually trades
4. **Pattern Recognition** = Technical confirmation
5. **Strict Exits** = Removes emotion and hope

The ratio is your edge. Volume is your confirmation. Time windows are your opportunity.

Don't force trades. The setup comes to you, or it doesn't.